

Education Department Sends Mass Warnings To Student Loan Borrowers To Change Repayment Plans, Or Else

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The Education Department sent out a new wave of notices to student loan borrowers last week, warning them that they [need to change repayment plans](#). The notices, which were sent to up to 7.5 million borrowers with student loans enrolled in the SAVE plan, indicated that if they don't act, the department will involuntarily move them into a different repayment plan.

“Our records show that you’ve enrolled in the Saving on a Valuable Education (SAVE) Plan,” reads the notice sent to some borrowers via email last Thursday. “As a reminder, a court order ended the SAVE plan. You must select a new repayment plan, or your student loan servicer will move you into a different repayment plan.” The email notice puts the last sentence in bold for emphasis.

The latest warnings place new pressure on millions of borrowers to take action now and move their student loans into a different plan. But do you actually have to start the process immediately? Here’s the latest, and what student loan borrowers should know about the timing of the termination of the SAVE plan.

Student Loan Borrowers In The SAVE Plan Will Need To Pick A Different Repayment Plan

The SAVE plan is indeed being terminated. After two years of legal battles, the Education Department and Republican-led state challengers entered into a settlement agreement that has effectively de-authorized the SAVE plan and ended the program. The Eighth Circuit Court of Appeals, the same court that issued a nationwide injunction blocking the SAVE program in 2024, issued a ruling in March that effectively ordered a district court judge overseeing the litigation to effectuate the settlement. The department swiftly followed that court order with warnings to student loan borrowers in SAVE that they will soon need to change repayment plans.

Do Student Loan Borrowers In The SAVE Plan Need To Change Repayment Plans *Now*?

Student loan borrowers in the SAVE plan who received the latest email notices warning them to change repayment plans do not necessarily have to act immediately. The 90-day clock to change repayment programs has not started running for *anyone* yet, and notices will not be issued until at least July 1, according to the Education Department. Some student loan borrowers advocacy groups characterized the latest email warnings as a scare tactic by the department, and urged borrowers to respond cautiously.

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“The Trump Dept. of Education is sending emails like this to scare you into making a very quick decision. Why? Because they want you out of SAVE now,” said the Debt Collective, a national debtor’s union that advocates for student loan borrowers, in a [statement on X last](#) Friday. “In Dept. ED’s own words, there is no reason for SAVE debtors to switch plans in this exact moment. Debtors can expect to hear from your loan servicer ‘in the coming months,’ after which, you’ll have 90 additional days to choose another repayment plan.”

The video player is currently playing an ad.

But other advocacy groups offered more nuanced guidance to borrowers with student loans enrolled in SAVE who don't know what to do.

“You will not be able to stay in the SAVE plan for long,” explained the National Consumer Law Center in a [blog post](#) last month. “You will need to enroll in a different repayment plan soon, likely within 90 days of July 1, 2026. The Department has announced that loan servicers will begin sending notices to borrowers enrolled in SAVE on or around July 1, 2026, telling them to enroll in a different repayment plan within 90 days. This means you will probably need to switch plans by the end of September 2026.”

“You do not have to wait to switch plans,” continued NCLC. “It might make sense to switch plans now if you are able to afford payments in another plan, and you want to begin making progress toward paying off your loan or toward loan forgiveness through Public Service Loan Forgiveness (PSLF) or Income-Driven Repayment.”

At the same time, other student loan borrowers may want to remain in the SAVE plan forbearance for a little longer and wait until this July to apply for a different repayment plan.

“On the other hand, it might make sense to wait until July 1 to switch plans [if you want to enroll in RAP](#), which won't be available until July 1, or you do not qualify for a \$0 payment in another plan and cannot afford the payments you would owe in other plans,” said NCLC. “Waiting until July 1 will give you more time before you need to make payments, but be aware that interest will continue to be charged while you wait.”

Other Considerations For Student Loan Borrowers In The SAVE Plan

Borrowers may also want to consider the surge in new applications for income-driven repayment plans that may occur later this summer as millions of borrowers rush to move their student loans to other programs after they receive their 90-day notices. The Education Department has expressed confidence that IDR processing will run smoothly. But the department has been contending with an IDR application backlog since last year, and after months of progress, there are signs the [backlog may be starting to worsen](#) again.

That could be a reason for some borrowers to apply to switch plans sooner rather than later.

“There is a severe backlog of IDR applications; over half a million applications are currently pending,” said Protect Borrowers in a new blog post last week. “So, when the Department tells millions of borrowers they need to switch plans in 90 days, that backlog will almost certainly grow exponentially—potentially by 7.5 million people. Borrowers know all too well that servicers have a long history of making serious mistakes on people’s accounts. So, an even larger backlog and an increase in servicing errors are almost assured.”

In addition, the department published finalized regulations governing student loan repayment last month. Those regulations appear to impose some new restrictions for several income-driven repayment plans. For example, borrowers who are eligible for the PAYE plan [may not be able to enroll](#) if their student loans weren’t already in PAYE as of July 1, 2024, once the new rules go into effect this coming July. That alone could be a reason for some borrowers to apply to switch plans now, before July 1, as PAYE will often offer lower monthly payments than any other income-driven repayment option, now that the SAVE plan is ending.